SUPREME COURT · JUDGMENT DIGEST

Maharashtra State Electricity Distribution Co. Ltd. *v.* M/s. JSW Steel Ltd. & Ors.

Civil Appeal Nos. 5074-5075 of 2019 | Supreme Court of India | 10 December 2021

COURT	Supreme Court of India (Civil Appellate Jurisdiction)
CORAM	Hon'ble Mr. Justice M.R. Shah & Hon'ble Mr. Justice Sanjiv Khanna (judgment delivered by M.R. Shah, J.)
DATE OF JUDGMENT	10 December 2021 (Digitally signed 2021.12.10)
NATURE OF PROCEEDING	Civil Appeal against order of Appellate Tribunal for Electricity, Delhi (APTEL) dated 27.03.2019 (Appeal Nos. 311 & 315 of 2018) which set aside Maharashtra Electricity Regulatory Commission's order dated 12.09.2018 (Petition No. 195 of 2017) levying additional surcharge on captive consumers
PARTIES	Maharashtra State Electricity Distribution Co. Ltd. (MSEDCL, appellant / distribution licensee) *v.* M/s. JSW Steel Ltd. & Ors. (respondents / captive consumers)
PROVISIONS	Sections 2(15), 9, 42(2), 42(3), 42(4) of Electricity Act, 2003
RESULT	**Civil Appeals dismissed.** Captive consumers are held not liable to pay additional surcharge under Section 42(4) of the Electricity Act, 2003. The additional surcharge already recovered shall be adjusted in future wheeling charges bills. No order on costs.

POINT FOR DETERMINATION

1. Whether captive consumers / captive users are liable to pay the additional surcharge leviable under Section 42(4) of the Electricity Act, 2003.

FACTS

The appellant MSEDCL filed a petition (Case No. 48 of 2016) before the Maharashtra Electricity Regulatory Commission (MERC) for multi-year tariff (MYT) approval for FY 2014-2015 and subsequent fiscal years. MERC held that additional surcharge under Section 42(4) is not applicable to captive users to the extent of their self-consumption from captive plants, but shall be applicable to all consumers who have availed open access to receive supply from sources other than the distribution licensee.

MSEDCL filed a review petition (Case No. 195 of 2017) including a prayer to approve additional surcharge for all open access consumers including those sourcing power from captive power plants (CPPS). By order dated 12.09.2018, MERC reversed its earlier position and held that additional surcharge is leviable under Section 42(4) on captive consumers / captive users.

The Captive Power Producers Association and other captive consumers approached the Appellate Tribunal for Electricity, challenging MERC's order. By order dated 27.03.2019, APTEL allowed the appeals and set aside MERC's order, holding that captive consumers are not liable to pay additional surcharge under Section 42(4).

MSEDCL appealed to the Supreme Court, contending that captive generation under Section 9 is subject to regulations and that captive users availing open access must pay additional surcharge under Section 42(4).

REASONING OF THE COURT

HEADNOTE

The Electricity Act, 2003 creates a fundamental statutory distinction between ordinary consumers (defined in Section 2(15)) and captive consumers (governed by Section 9). Captive consumers have a statutory right to construct and operate generating plants and to obtain open access for transmission of electricity to their own place of use. This right under Section 9 does not require permission from the State Commission. The additional surcharge prescribed in Section 42(4) applies only to consumers or classes of consumers to whom 'the State Commission permits' to receive supply from a person other than the distribution licensee. Since captive consumers possess a statutory right to open access (not a permission granted at the State Commission's discretion), they fall outside Section 42(4) and are not liable to pay the additional surcharge. Captive consumers form a distinct class with different investment profiles and statutory entitlements from ordinary consumers, and treating them identically would be discriminatory.

Captive generation is a statutory right under Section 9, not subject to State Commission permission. Section 9 of the Act provides that any person may construct, maintain or operate a captive generating plant and dedicated transmission lines. Pursuant to Section 9(2), every person who has constructed a captive generating plant 'shall have the right to open access for the purposes of carrying electricity from his captive generating plant to the destination of his use,' subject only to availability of adequate transmission facility as determined by the Central or State Transmission Utility. This right is a statutory entitlement, not a discretionary permission granted by the State Commission. The fact that supply through the grid is regulated in the same manner as generating stations, or that open access is subject to transmission facility availability, does not alter the character of the right as statutory. The Appellant's argument that captive generation requires State Commission permission has no substance and must be rejected. ¶ 9

Section 42(4) applies only where State Commission permission is granted; captive users require no such permission. Section 42(4) provides that 'Where the State Commission permits a consumer or class of consumers to receive supply of electricity from a person other than the distribution licensee of his area of supply, such consumer shall be liable to pay an additional surcharge.' The language makes clear that the levy of additional surcharge is conditional on the State Commission granting permission to receive supply from an alternative source. Captive users require no such permission because they have a statutory right under Section 9 to carry electricity to the destination of their use. The condition precedent in Section 42(4) — that the State Commission permits such supply — is not satisfied in the case of captive users. Therefore, the additional surcharge cannot be levied on them. ¶ 11

The logic underlying additional surcharge does not apply to captive consumers. The additional surcharge in Section 42(4) is compensatory in nature. It is imposed because a distribution licensee has already incurred substantial expenditure, entered into purchase agreements, and invested money to supply electricity to consumers in its area. When an ordinary consumer (one supplied by the distribution licensee) seeks supply from another source, the consumer must compensate the distribution licensee for its sunk costs and fixed expenses. However, captive consumers incur their own massive expenditure for constructing, maintaining and operating captive generating plants and dedicated transmission lines. They have invested their own capital at their own risk. They should not be burdened with surcharges designed to compensate distribution licensees for the latter's fixed costs. ¶ 13

Captive consumers form a distinct class separate from ordinary consumers defined in Section 2(15). Section 2(15) defines 'consumer' as any person supplied with electricity by a licensee or government. Captive consumers are not 'supplied' by a distribution licensee; they generate electricity for their own use. Ordinary consumers, by definition under Section 2(15), incur no expenditure or investment to procure electricity; the distribution licensee bears that cost. Captive consumers, by contrast, incur enormous capital expenditure in establishing generating plants and transmission infrastructure. The Act itself recognizes this distinction by creating a separate statutory scheme for captive generation in Section 9. Treating captive consumers and ordinary consumers identically for surcharge purposes would be discriminatory and would treat unequals equally. Therefore, captive consumers form a separate class by themselves to which Section 42(4) does not apply. ¶ 14

The Appellate Tribunal's decision is upheld; the appeals are dismissed. For the above reasons — that captive users have a statutory right to open access requiring no State Commission permission, that Section 42(4) applies only where such permission is granted, and that captive consumers form a distinct class — the present appeals fail and are dismissed. The Appellate Tribunal has rightly held that captive consumers are not liable to pay additional surcharge under Section 42(4) of the Electricity Act, 2003. ¶ 15

INTERPRETATION OF THE ELECTRICITY STATUTES

ELECTRICITY ACT, 2003; CAPTIVE GENERATION AND OPEN ACCESS

Section 9(1) & 9(2) of the Electricity Act, 2003 — Captive Generation and Statutory Right to Open Access

Section 9(1) permits any person to construct, maintain or operate a captive generating plant and dedicated transmission lines without licence or express permission. Section 9(2) grants every such person a statutory right to open access for the purpose of carrying electricity from the captive plant to the destination of the person's own use. This right is subject only to availability of adequate transmission facility (to be determined by the Central or State Transmission Utility) and, in case of dispute regarding availability, the Appropriate Commission may adjudicate. The right to open access is not discretionary, not conditional on State Commission permission, and not dependent on the State Commission's choices in phasing open access. It is a statutory entitlement by force of law. ¶ 9

Section 42(4) of the Electricity Act, 2003 — Additional Surcharge: Scope and Condition Precedent

Section 42(4) provides: 'Where the State Commission permits a consumer or class of consumers to receive supply of electricity from a person other than the distribution licensee of his area of supply, such consumer shall be liable to pay an additional surcharge on the charges of wheeling, as may be specified by the State Commission, to meet the fixed cost of such distribution licensee arising out of his obligation to supply.' The statute explicitly makes the levy of surcharge conditional on the State Commission's permission. The surcharge is a creature of regulatory permission and discretion, designed to protect the distribution licensee's fixed costs when an ordinary consumer seeks alternative supply. Captive consumers, who possess a statutory right to open access independent of any State Commission permission, fall outside this provision. The condition precedent ('where the State Commission permits') is not met in their case. ¶ 11

Section 2(15) of the Electricity Act, 2003 — Definition of ’Consumer’: Ordinary Consumers Distinguished from Captive Consumers

Section 2(15) defines ’consumer’ as ’any person who is supplied with electricity for his own use by a licensee or the Government or by any other person engaged in the business of supplying electricity to the public.’ This definition contemplates persons who depend on external suppliers (licensees or government) for their electricity supply. Captive consumers do not fall within this definition because they generate electricity for themselves and are not ’supplied’ by an external entity in the ordinary sense. The Act creates a separate statutory regime for captive consumers under Section 9, reflecting their distinct legal status, investment profile, and rights. They are a separate class and are not to be treated identically with ordinary consumers defined in Section 2(15). ¶ 14

> **RATIO DECIDENDI**
>
> Captive consumers, as defined and regulated under Section 9 of the Electricity Act, 2003, possess a statutory right to construct captive generating plants and to obtain open access for transmission of electricity to their own place of use. This right does not depend on permission from the State Commission. The additional surcharge under Section 42(4) applies only to consumers or classes of consumers to whom the State Commission grants permission to receive supply from a source other than the distribution licensee. Since captive consumers have a statutory right independent of such permission, they fall outside Section 42(4) and are not liable to pay the additional surcharge. Captive consumers form a distinct class, separate from ordinary consumers defined in Section 2(15), and have different statutory rights, obligations, and investment profiles. They are not subject to the surcharge regime designed for ordinary consumers seeking alternative supply. ¶ 14–15

ALSO HELD & OBITER

- **Direction to adjust already-recovered surcharge in future wheeling bills.** Although captive consumers are held not liable to pay the additional surcharge, and the distribution licensee would ordinarily be required to refund the amounts already recovered, the Court takes note of the substantial liability this would create if refund were required at once. In order to balance the interests of the parties, the Court directs that ’the additional surcharge already recovered from the captive consumers/captive users shall be adjusted in the future wheeling charges bills.’ This direction avoids imposing an immediate heavy financial burden on the distribution licensee whilst ensuring that the captive consumers receive the benefit of the Court’s holding. ¶ 16

> **DISPOSITION**
>
> For the above reasons, **the Civil Appeals (Nos. 5074-5075 of 2019) are dismissed.** The Appellate Tribunal’s judgment setting aside the Maharashtra Electricity Regulatory Commission’s order is upheld. Captive consumers are held not liable to pay additional surcharge under Section 42(4) of the Electricity Act, 2003. It is directed that the additional surcharge already recovered from the captive consumers/captive users shall be adjusted in the future wheeling charges bills. No order on costs. ¶ 15–17

SIGNIFICANCE

A landmark statutory-interpretation judgment establishing the scope of Section 42(4) of the Electricity Act, 2003 and clarifying the distinct status of captive consumers under the Act. Four principal holdings:

- **Clarifies the distinction between statutory rights and regulatory discretions in the Electricity Act.** The judgment establishes that captive generation and open access rights under Section 9 are statutory entitlements that do not require State Commission permission or approval. In contrast, the additional surcharge under Section 42(4) is a creature of regulatory discretion, available only where the State Commission ’permits’ alternative supply. This distinction between statutory rights (which operate by force of law) and regulatory permissions (which operate at the Commission’s discretion) is fundamental to the Act’s scheme and has implications for all future interpretations of open access and surcharge provisions.

- **Protects investment in captive power generation from surcharges designed for ordinary consumers.** Captive power generation involves massive capital investment and assumes substantial business risk. The judgment recognizes that surcharges levied to protect distribution licensees’ fixed costs and sunk investments should not apply to captive consumers, who themselves have made equivalent or greater capital investments. This protection encourages industrial and commercial investment in self-generation, supports the growth of renewable and efficient captive power, and prevents cross-subsidization of ordinary consumers by captive generators.
- **Establishes captive consumers as a distinct class with separate regulatory treatment.** The Court holds that captive consumers are a separate class distinct from ordinary consumers under Section 2(15), with different rights, obligations, investment profiles, and statutory entitlements. This classification has significant implications for tariff-setting, cost-recovery mechanisms, and regulatory treatment of captive consumers in future MERC and regulatory proceedings across India.
- **Resolves a conflict between two MERC decisions and establishes finality on a key industrial power issue.** MERC had initially held (in Case No. 48 of 2016) that surcharge does not apply to captive consumers, but later reversed this position (in Petition No. 195 of 2017), creating uncertainty for industrial captive generators. The Supreme Court’s judgment, endorsing the earlier MERC position as correct, provides definitive clarity and protects the interests of existing and future captive power developers across India.

TABLE OF AUTHORITIES

Authorities discussed in the judgment: the proposition each stands for, how this judgment used it, and the treatment given.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Appellate Tribunal for Electricity, order dated 27.03.2019 in Appeal Nos. 311 & 315 of 2018 APTEL, Appeal Nos. 311 & 315 of 2018 (order dated 27.03.2019) · Appellate Tribunal for Electricity	Captive users / captive consumers availing open access are not liable to pay additional surcharge under Section 42(4) of the Electricity Act, 2003.	The order under appeal. The Supreme Court held that the Tribunal had ‘rightly held’ that captive users are not liable for additional surcharge and affirmed it, dismissing the distribution licensee’s appeals. (¶ 13–15)	Affirmed
Maharashtra Electricity Regulatory Commission, order in Case (Petition) No. 195 of 2017 MERC, Case No. 195 of 2017 · Maharashtra Electricity Regulatory Commission	Had held that the group of captive consumers are liable to pay additional surcharge under Section 42(4).	The State Commission’s order, set aside by the Tribunal; the Supreme Court, dismissing the licensee’s appeals, left that setting-aside undisturbed — captive users are not liable. (¶ 1, 15)	Set aside

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.